

# Compensation

*by Sophia*



## WHAT'S COVERED

In this lesson, you will learn about the compensation package people receive at work and the ethical implications. Specifically, this lesson will cover:

## 1. Minimum Wage

Nobody would dispute that employees are entitled to a fair wage. Rather, it is in the calculation of a fair wage where the debate begins. Should a fair wage be enough to live on? Should it be enough to raise a family?

This has never been more relevant at a time when many salaries are simply not enough to sustain even an individual, let alone a family. This is partly due to the stagnation of the federal minimum wage. In the mid-1960s, the minimum wage was \$1.25 an hour, compared to \$7.25 as of January 2023, a growth of 580%. However, the cost of living has gone up significantly more, growing 920%. This is most evident in the cost of housing. A minimum-wage earner in the 1960s might pay over half their salary for rent, but a minimum-wage earner in 2023 might pay every cent, with little or nothing left over for other necessities—if they can find a place at all. Mortgage payments present a similar challenge, making it nearly impossible for many people to buy a home and build equity, where people at their same income level have historically been able to do so.



### THINK ABOUT IT

What percentage of your own individual or family income is spent on rent or mortgage payments?

# Rent as a Percentage of Total Income



In 1966, rent was only about 50% of monthly income. In 2023, it is closer to 100%, and in many cities, exceeds it.

As the baseline for wages, the minimum wage is the index of fair wage and the basic ethical question of whether jobs should exist that do not sustain the people who hold them. In 2023, it is a simple fact that people with minimum wage jobs cannot live on their salaries alone.

One positive development for minimum-wage workers is that state governments have taken the lead in what was once viewed as a federal issue. Today, most states have a higher minimum hourly wage than the federal minimum of \$7.25. States with the highest minimum hourly wages include Washington (\$15.74), California (\$15.50), and Connecticut and Massachusetts (\$15.00). All figures are as of 2023 (U.S. Department of Labor, 2023). Some cities have even higher minimum hourly wages than under state law; for example, as of 2023, San Francisco and Minneapolis are at \$15.00 for large employers, and Seattle has a minimum wage of \$16.50 for small employers and \$18.79 for large employers. As of 2023, 29 states had higher minimum hourly wages than the federal rate.

Many business leaders and economists agree that a higher minimum wage would help not just low-income workers but the entire economy; industrialized economies function best when income inequality is minimal. A hike in the minimum wage affects middle-class workers in two ways. First, it is a direct help to those who are part of a two-earner family at the lower end of the middle class, giving them more income to spend on necessities. Second, many higher-paid workers earn a wage that is tied to the minimum wage. Their salaries would increase as well.

Changes in compensation and income can also contribute to demand, impact inflation, and price small businesses out of their ability to hire workers, scaling back on growth which, in turn, negatively impacts employment. When considering the ethics of wages, the issue is quite complex, and there may be several perspectives, from employee to employer to consumer.



## THINK ABOUT IT

What is a hiring manager's ethical obligation, to obtain labor as cheaply as possible to maximize profits, or provide workers with a reasonable standard of living? How do you determine a reasonable standard of living? If the latter, what justifications can the manager make to company executives or shareholders?



## HINT

## 2. The Middle Class

The U.S. economy was built largely on the premise of an expanding and prosperous **middle class**, an economic status between the high and low tiers to which everyone had a chance of belonging. This ideal set the United States apart from other countries, in its own eyes and those of the world. In the years after World War II, the **G.I. Bill** and returning prosperity provided veterans with money for education, down payments for homes, and even to launch small businesses, all of which helped establish the middle class and help the economy grow.



### DID YOU KNOW

Anna Rosenberg was a crucial advisor on the G.I. Bill, which gave returning veterans the opportunity to go to college, buy a home, or start a business. Rosenberg interviewed hundreds of veterans to find out what they wanted from a program, which radically altered President Franklin D. Roosevelt's original vision. In particular, Rosenberg learned how many returning veterans wanted to get an education, surprising Roosevelt, who'd assumed they would simply want a good job. Between 1944 and 1956, over eight million men and women took advantage of the education benefits, vastly growing not just the middle class but the number of people in the U.S. with a college education.

For the first time, many people could afford homes of their own, and residential home construction reached record rates. Families bought cars and opened credit card accounts. The culture of the middle class with picket fences, backyard barbecues, and black-and-white televisions had arrived. Television shows such as *Leave it to Beaver* and *Father Knows Best* reflected the "good life" desired by many in this newly emerging group. By the mid-1960s, middle-class wage earners were fast becoming the engine of the world's largest economy.



In the second half of the 20th century, a large middle class was key to prosperity, but the middle class is now in decline.

But one thing almost everyone agrees on is that a *shrinking* middle class is not good for the economy. Data from the International Monetary Fund indicates the U.S. middle class is going in the wrong direction. Only one-quarter of 1% of all U.S. households have moved up from the middle- to the upper-income bracket since 2000, while twelve times that many have slid to the lower-income bracket. That is a complete reversal from the period between 1970 and 2000, when middle-income households were more likely to move up than down. According to *Business Insider*, the U.S. middle class is “hollowing out, and it’s hurting U.S. economic growth” (Butt, 2016). Meanwhile, most businesses understand that their customer base is largely the middle class, which, given the loss of purchasing power, is in fact shrinking. Wages might be up, but if prices are “up up” or even “up up up,” then we can quickly see that it’s like taking two steps back on the work progress “ladder.” When rent exceeds income, and food banks are full of people who never thought they would need assistance, it calls our attention to the depletion of the middle class.

Not only has the total wealth of middle-income families remained flat with little to no growth, but the overall percentage of middle-income households in the United States has shrunk from almost 60% in 1970 to only 47% in 2014, a significant drop. When there are less people with money to spend, it follows that less money is spent, reducing overall demand. Because consumers with disposable incomes are a huge driver of the U.S. economy, with their household consumption of goods and services like food, energy, and education making up more than two-thirds of the nation’s gross domestic product (GDP), the downward trend is an economic challenge for corporate America and the government. Business must be part of the solution.

But exactly what can U.S. companies do to help address this issue? In addition to paying a higher wage, businesses can help workers move to, or stay in, the middle class in other ways. For decades, some companies have hired many full-time workers as independent contractors because they do not have to offer benefits. There are other advantages as well, such as being able to scale staff according to needs without laying people off. Job sharing, work from home, and reduced days at the office each week are also benefits that can produce positive outcomes.

However, that practice shifts the burden to the workers, who now have to pay the full cost of their health insurance, workers’ compensation, unemployment benefits, time off, and payroll taxes. Although contractors typically make more per hour than people in the same job as permanent employees, they must incur these expenses as well as setting some aside since the jobs have little job security. The money companies save by hiring independent contractors may be the margin between a family being in the middle class and falling below it.



TRY IT

You are a manager at a company that makes large use of contract workers, many of them full-time and with years of service. You would like the company to bring them on as full-time employees with benefits. What arguments can you make to justify the decision to executives and shareholders?



DID YOU KNOW

The fall of the U.S. middle class is more than a line on an economic chart; it is a cold reality for many families who never saw it coming. The HBO Documentary *American Winter* tells the story of an economic tragedy. Families that were once financially stable are now barely keeping their heads above water. Once-proud middle-class workers talk about the shame of having to ask friends for help or turn to public assistance as a last resort.

**Middle Class**

An economic status between the low and high tiers.

**The G.I. Bill**

A post-World War II act (1944-1956) that gave government grants to returning military veterans which they could use to buy a home, open a business, or go to college. The G.I. Bill was essential to growing and establishing the middle class in the U.S.

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## 3. Experiments in Compensation

Whether we are discussing fair wages, minimum wages, or equal wages, the essence of the debate often boils down to ethics. What should people get paid, who should determine that, and should managers and upper management do only what is required by law or go above and beyond if that means doing what they think is right? Organizational pay structures are set by a variety of methods, including internal policies, the advice of outside compensation consultants, and external data, such as market salaries.

Let's examine a fascinating ethical case of standing up for what is right but failing ethically in other areas of one's life. In 2011, a man earning \$35,000 a year told his boss at Gravity Payments, a credit card processing business, that his earnings were not sufficient for a decent life in expensive Seattle. The boss, Dan Price, who co-founded the company in 2004, was surprised as he had always taken pride in treating employees well. Nevertheless, he decided his employee was right. For the next three years, Gravity gave every employee a 20% annual raise. Still, profit continued to outgrow wages. So, Price announced that over the next three years, Gravity would phase in a minimum salary of \$70,000 for all employees. He reduced his own salary from \$1 million to \$70,000, to demonstrate the point and help fund it. The following week, five thousand people applied for jobs at Gravity, including a Yahoo executive who took a pay cut to transfer to a company she considered fun and meaningful to work for. Price recognized that low starting salaries were antithetical to his values and felt that struggling employees would not be motivated to maintain the high quality that made his company successful with that compensation.

While Price has since been charged with assault and resigned as CEO of Gravity, there's no question that he did something radical in terms of making compensation more equitable. It raised the issue to the level of national debate.

**THINK ABOUT IT**

Dan Price's story raises a challenging question: Can a person be ethical in one area of their lives, and fail in another, and what does that mean? Recall in Unit 1 the emphasis on having a consistent ethical stance. Michael Wheeler, a professor at Harvard Business School, interviewed other entrepreneurs about their plans for creative compensation to help develop a happy and motivated workforce (2018). One of these entrepreneurs was Megan Driscoll, the CEO of Pharmedics Recruiting, who, after hearing Dan Price speak to a group of executives, was inspired to raise the starting base pay of her employees by 33%. When Driscoll put her plan to work, her business had 46 employees and \$6.7 million in revenue. A year later, staff and revenues had jumped to 72 and \$15 million, respectively. Driscoll points to data showing her people are working harder and smarter after the pay raise than before. There has been a 32% increase in clients, and the client retention rate doubled to 80%. Stephan Aarstol, CEO of Tower Paddleboards, wanted to give his workers a raise, but his company did not have the cash. Instead, Aarstol boldly cut the workday to five hours from the ten hours most employees had been working. Essentially that doubled their pay, and as a result, he says, employee focus and engagement have skyrocketed, as have company profits.

As these companies look at fair compensation as a core value, it puts pressure on other companies to follow suit. Managers must carefully balance the short term, such as quarterly profits, versus long-term sustainability as a successful company. This requires recognizing the value of work that each person contributes and devising a fair, and sometimes creative, compensation plan.



## SUMMARY

In this lesson, you learned about the **minimum wage**, or the lowest level of compensation allowed by law. Wages, benefits, inflation, and purchasing power are all elements of compensation, and we recognize it doesn't do an employee any good to raise their wages if all corresponding prices of goods and services also go up as much, or more, than their raise. Instead, we examined how a rise in the minimum wage combined with increases in compensation over time has allowed the **middle class** to grow and thrive, for a time, only to once again shrink as inflation starts to accelerate again.

**Compensation** for skills, effort, products, and services may include more than just money; it might also include time off, flexible hours, job sharing, and a range of related benefits and options. We can look at a growing economy as healthy when it grows for everyone, but when employers use strategies to limit benefits, or deny them altogether, it can hurt the middle class, employees, and their families.

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## TERMS TO KNOW

### Comparable Worth

The value a person brings to the organization.

### The G.I. Bill

A post-World War II act (1944-1956) that gave government grants to returning military veterans which they could use to buy a home, open a business, or go to college. The G.I. Bill was essential to growing and establishing the middle class in the U.S.